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Saveetha Institute of Medical And Technical Sciences

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Satyam Scandal (2009)

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About Satyam

- Satyam Computer Services Ltd. was founded in **1987**.
- Founder: **B. Ramalinga Raju**.
- Headquarters: **Hyderabad, India**.
- One of India's top IT companies.
- Provided software and IT services to clients in over 60 countries.

Who Committed the Fraud?

Main Accused

- B. Ramalinga Raju – Founder and Chairman
- B. Rama Raju – Managing Director
- Vadlamani Srinivas – Chief Financial Officer (CFO)
- Other senior finance officials were also involved.

Role of Ramalinga Raju

- Planned and directed the financial fraud.
- Manipulated company accounts for several years.

What Was the Fraud?

- Creating fake invoices.
- Showing fake profits.
- Inflating cash and bank balances.
- Hiding liabilities.
- Manipulating financial statements.
- Estimated Fraud Amount: ₹7,000 crore

How Was the Fraud Discovered?

- On **7 January 2009**, B. Ramalinga Raju wrote a confession letter.
- He admitted that the company's accounts had been manipulated.
- Investors, employees, and the government were shocked.
- The confession exposed one of India's largest accounting frauds.

What Happened After the Fraud?

- ➢Satyam's share price dropped by over **80%**.
- ➢Investors lost thousands of crores.
- ➢Employees feared losing their jobs.
- ➢Customers lost trust in the company.
- ➢The Government of India took control and appointed a new board.

Investigation and Punishment

Investigating Agencies:

- ➢CBI
- ➢SEBI
- ➢SFIO

Punishment:

- ➢Ramalinga Raju and other executives were arrested.
- ➢In **2015**, a special CBI court convicted them.
- ➢They received prison sentences and fines.

What Happened to Satyam?

- Government appointed a new Board of Directors.
- Tech Mahindra acquired Satyam in 2009.
- The company became **Mahindra Satyam**.
- Later, it merged with **Tech Mahindra**.

Impact and Lessons Learned

Impact:

- Stronger corporate governance.
- Better auditing standards.
- Improved financial transparency.
- Stricter SEBI regulations.

Lessons:

- Always maintain honest financial records.
- Strong internal controls prevent fraud.
- Ethical leadership is essential.
- Independent audits protect investors.

Conclusion

- The Satyam Scandal is one of India's biggest corporate fraud cases.
- It exposed weaknesses in corporate governance and auditing.
- The scandal led to major reforms in financial reporting and corporate regulations.
- It remains an important case study in business ethics and corporate governance.


thank you